MP Materials' 10X Financing

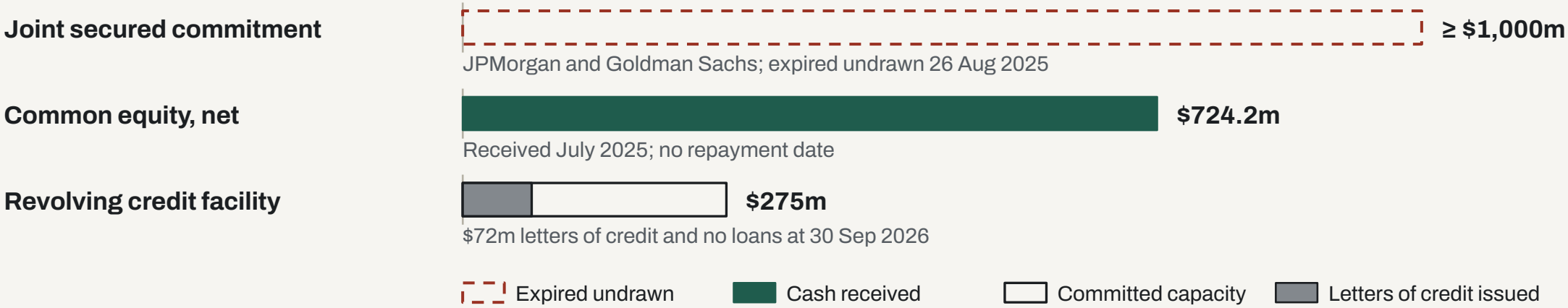
Cash, Covenants, and Construction Risk

How a JPMorgan–Goldman Sachs commitment of at least $1bn gave way to $724.2m of net equity and a $275m JPMorgan-agented revolver, and what that means for funding 10X before it earns revenue.

10X is MP's planned rare-earth magnet plant in Northlake, Texas. MP expects to invest more than $1.25bn; construction is underway and commissioning is expected in 2028.

What replaced the commitment

USD million on one scale; three separate instruments, not added



Author **Benjamin Yang** Draft **1.1, review candidate · 13 November 2026** Evidence to **6 November 2026**

Sources: July 2025 transaction 8-K; underwriting agreement; revolving credit 8-K; 2025 10-K; Q3 2026 10-Q. Independent research; not commissioned or reviewed by JPMorgan or MP Materials. Held from publication pending human review.

Fund 10X with equity first and keep the revolver for letters of credit, because a suspended Defense payment obligation blocks new draws

Recommendation for a hypothetical U.S. sponsor building before commissioning revenue; USD million

#	Item	USD million
1	**Net equity (reported)**	724.2
2	**Liquid assets, 30 Sep 26**	1,337.9
3	**Revolver available, Sep 26**	203.0
4	**Quarter-end liquidity test**	500.0

USD million

Basis of each figure

2 Cash plus short-term investments, as reported at 30 September 2026.

3 Drawable only while no Default exists; a suspended Defense payment obligation stops new loans and letters of credit.

4 Measured at each quarter-end until the covenant trigger; cash below it is an immediate Event of Default.

Analyst judgment. Equity is permanent capital: $724.2m with no repayment date. The revolver's $203m can be drawn only while no Default exists, and a suspended Defense payment obligation is a Default. Plan 10X spending against cash and the $500m quarter-end test.

Source: Underwriting agreement; 2025 10-K; Q3 2026 10-Q; credit agreement

JPMorgan held every financing role; Goldman Sachs shared the commitment and, with Morgan Stanley, the underwriting

Roles named in the reviewed filings and in J.P. Morgan's self-description

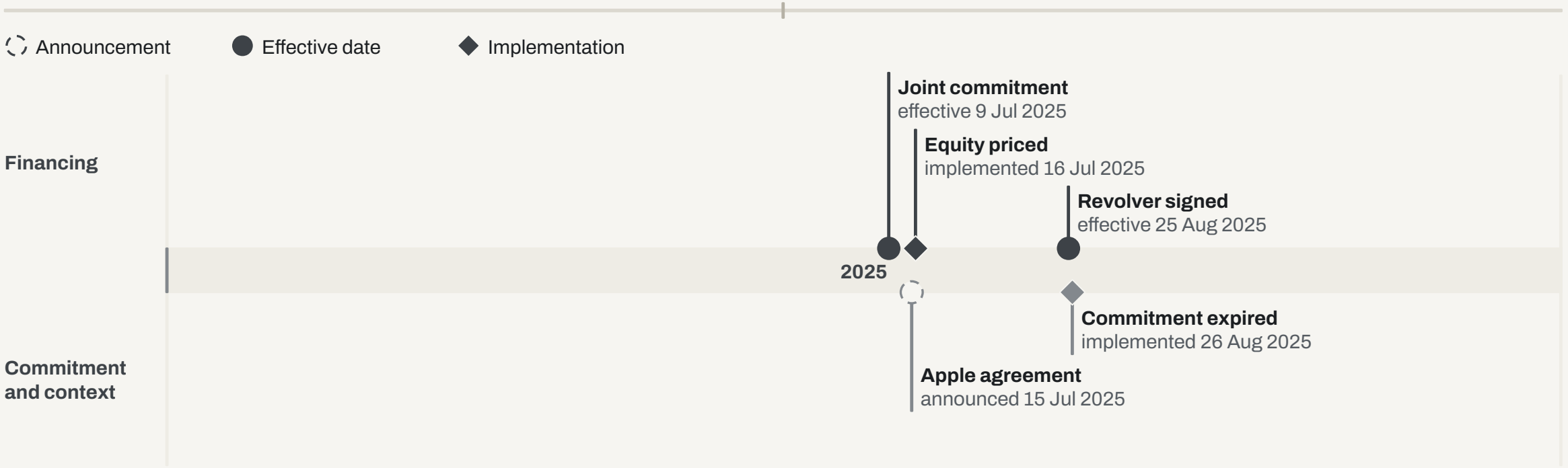
Bank	Adviser	Joint commitment	Underwriting	Revolver agent
JPMorgan	Self-described	Joint	**Joint largest**	Agent, lender
Goldman Sachs	Not named	Joint	**Joint largest**	Not named
Morgan Stanley	Not named	Not named	**Smaller share**	Not named

Goldman Sachs and Morgan Stanley were also joint lead arrangers of the revolver JPMorgan administers. Fees by bank and retained positions are undisclosed; the sole-adviser role rests on J.P. Morgan's own account.

Source: July 2025 transaction 8-K; underwriting agreement; revolving credit 8-K; credit agreement; J.P. Morgan's self-description for the adviser role

Equity and a revolver replaced the joint commitment within seven weeks

Financing events and the agreements around them, July to August 2025



The Defense agreements (9 July) and Apple's agreement (15 July) came days before the 16 July pricing. The filings do not show how much they added to investor demand.

Source: July 2025 transaction 8-K; prospectus supplement; Apple agreement 8-K; revolving credit 8-K; 2025 10-K, Note 3

Net equity of $724.2m and a $275m revolver replaced a commitment of at least $1bn that expired undrawn

USD million; equity is cash received, the revolver is committed capacity

#	Item	USD million
1	**Gross equity (calculated)**	747.5
2	**Underwriting discount**	22.4
3	**Net equity (reported)**	724.2
4	**Revolver capacity**	275.0
5	**Commitment, minimum**	1,000.0

USD million

Status of each amount

3 Reported equity proceeds net of costs; no scheduled repayment.

4 Committed capacity; no loans were drawn at any reported date.

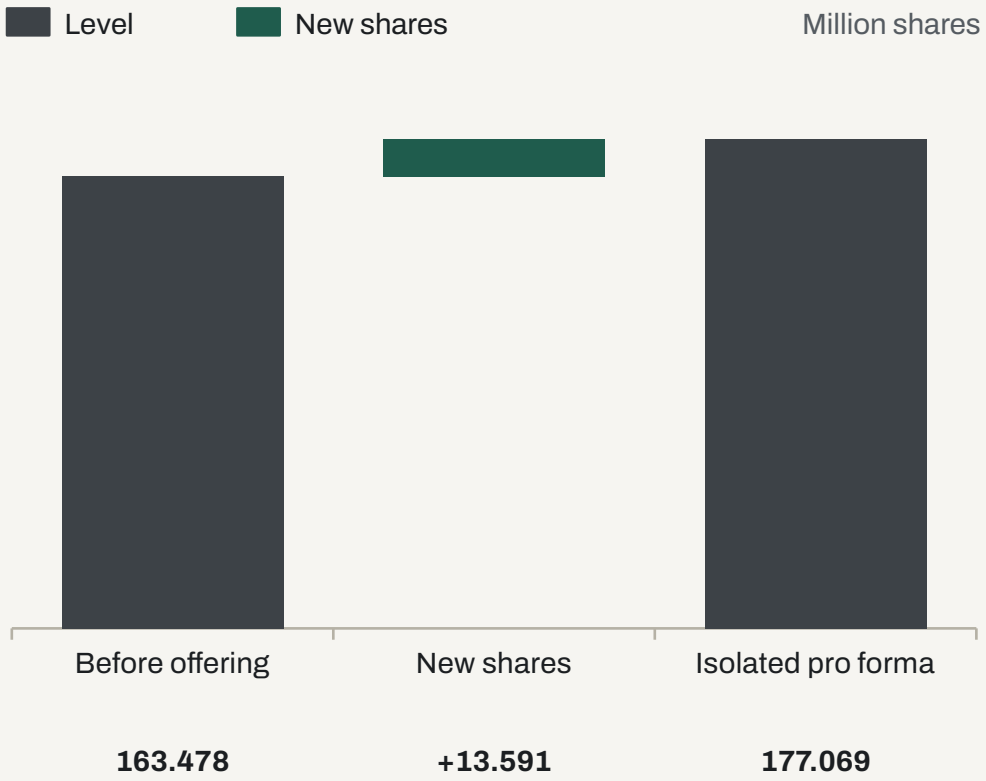
5 Stated as at least $1bn; it expired undrawn and $7.4m of fees were expensed.

The commitment shrank dollar for dollar as the equity and the revolver closed, and expired undrawn on 26 August 2025. The $0.9m between the after-discount equity and reported net proceeds is other offering expenses and rounding.

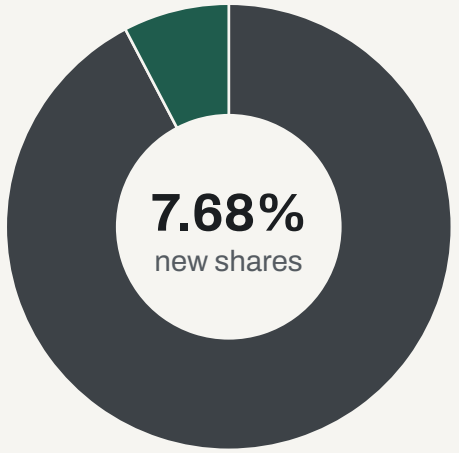
Source: July 2025 transaction 8-K; underwriting agreement; revolving credit 8-K; 2025 10-K

New shares added 8.31% to the basic count and are 7.68% of the isolated base

Bridge from basic shares before the July 2025 offering to the isolated pro forma, then the composition of that pro forma



Composition of the isolated pro forma



7.68% New shares

92.32% Pre-offering basic shares

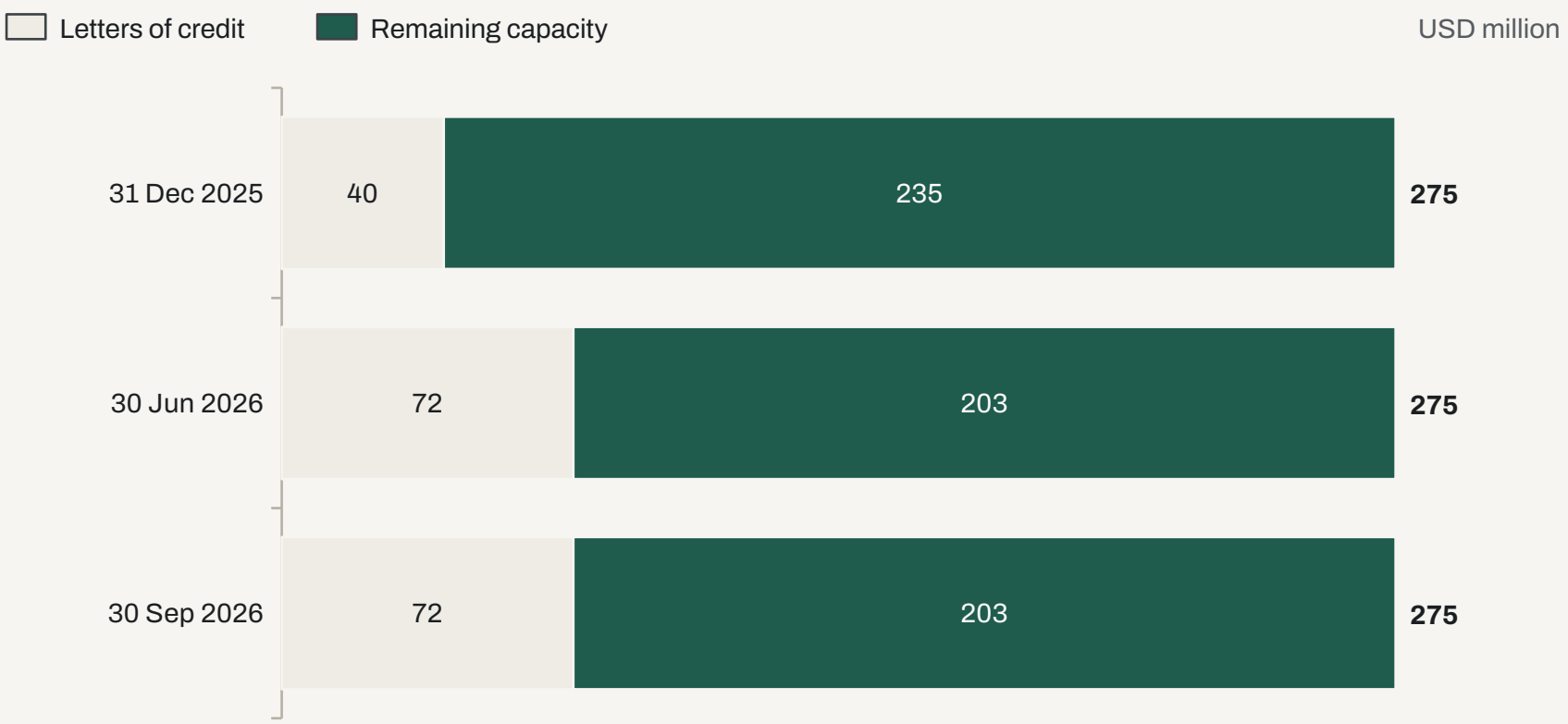
Base: 177.069m shares, isolated pro forma

Dilution separates equity from committed debt; both equity options issue the same shares. 8.31% measures the new shares against the pre-offering basic count, 7.68% against the isolated post-offering count. Both counts are basic shares outstanding, not fully diluted.

Source: Prospectus supplement; 2025 10-K

Letters of credit leave $203m of the $275m revolver available to draw

USD million at three reported dates; no loans were drawn at any of them

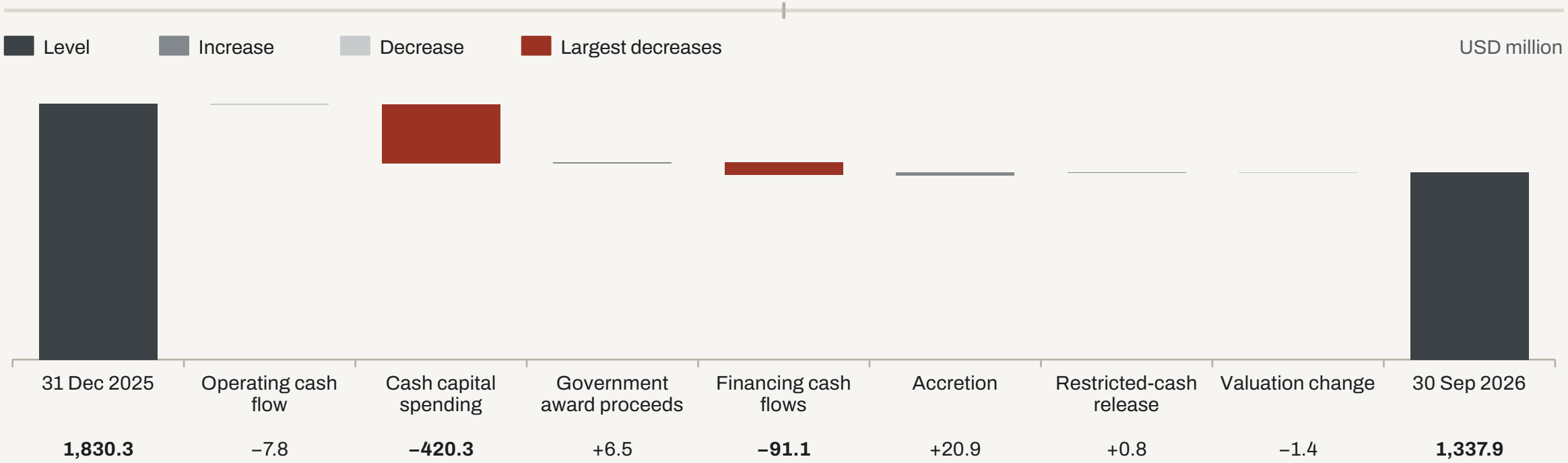


Letters of credit are the revolver's only reported use. The $203m can be drawn only while the agreement's conditions are met, so it supports liquidity without counting as cash. Letters of credit and loans share the $275m commitment.

Source: Credit agreement; 2025 10-K; Q2 2026 10-Q; Q3 2026 10-Q

Liquid assets fell $492.4m in nine months, mostly from $420.3m of capital spending and $91.1m of financing outflows

Reported USD million, 31 December 2025 to 30 September 2026

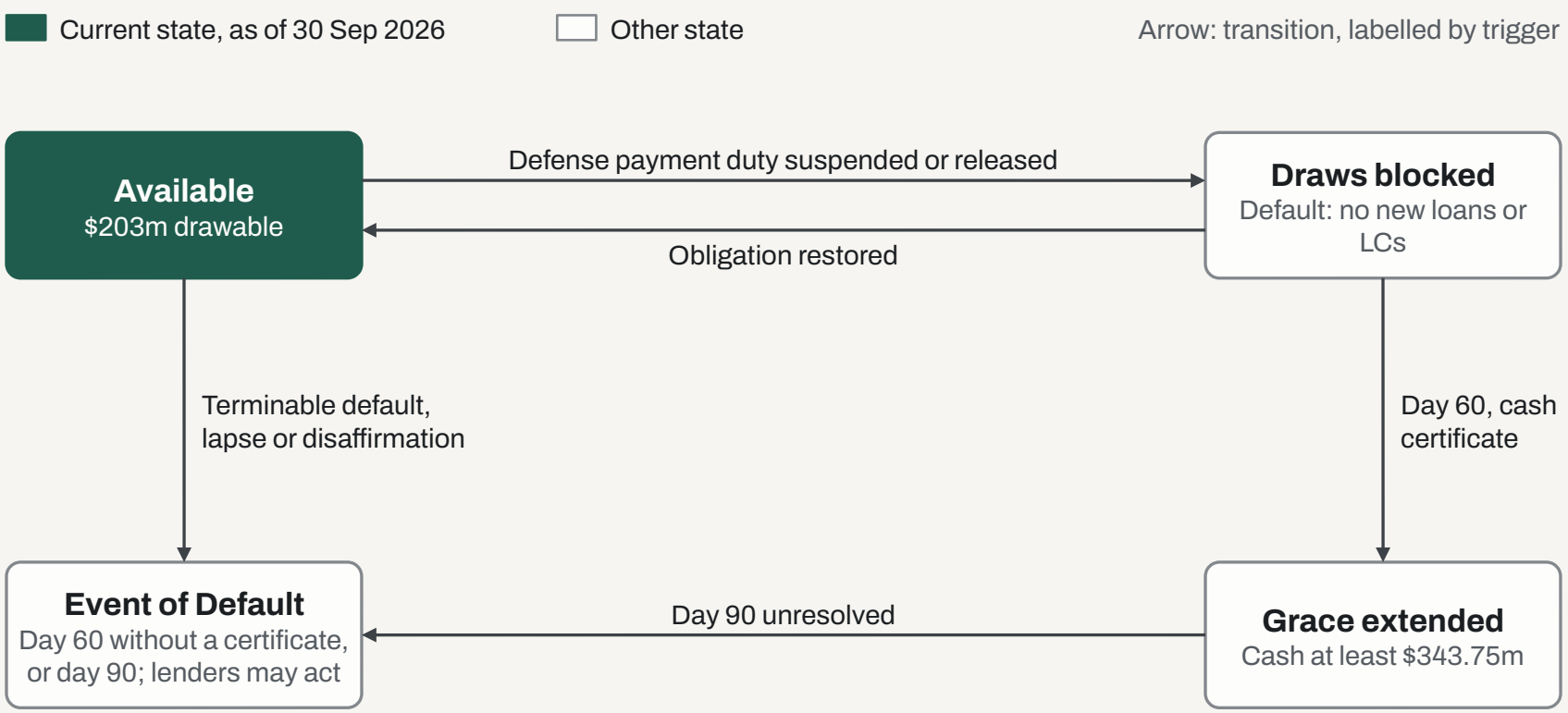


Capital spending covers every company project, of which 10X is one; MP guides to $500m to $600m of 2026 capital costs net of government awards. The $7.8m operating outflow includes $110.9m of price-protection receipts.

Source: Q3 2026 10-Q

An actual suspension of a Defense payment obligation blocks revolver draws at once; lenders may act after 60 or 90 days

Revolver states under credit agreement Section 8.01(m); the revolver was available at 30 September 2026



Plain reading of the filed credit agreement; not legal advice. The clock starts when an obligation is actually suspended or released; whether a right to suspend already counts is arguable, and a late DoD payment is not clearly covered. Restoring the obligation in time avoids an Event of Default. Remedies need Required Lenders to act.

Source: Credit agreement §§1.01, 4.02, 5.05, 8.01(m), 8.02; transaction agreement §9.02(a)

If Defense payments are suspended, MP's liquidity depends on two cash tests: $500m at each quarter-end and $343.75m on day 60

USD million at 30 September 2026; contractual thresholds beside reported balances

#	Item	USD million
1	**Liquid assets, 30 Sep 26**	1,337.91
2	**Quarter-end liquidity test**	500.00
3	**Day-60 extension test**	343.75
4	**Revolver commitments**	275.00
5	**Letters of credit, Sep 26**	72.00
6	**Available, Sep 26**	203.00

USD million

What each row measures

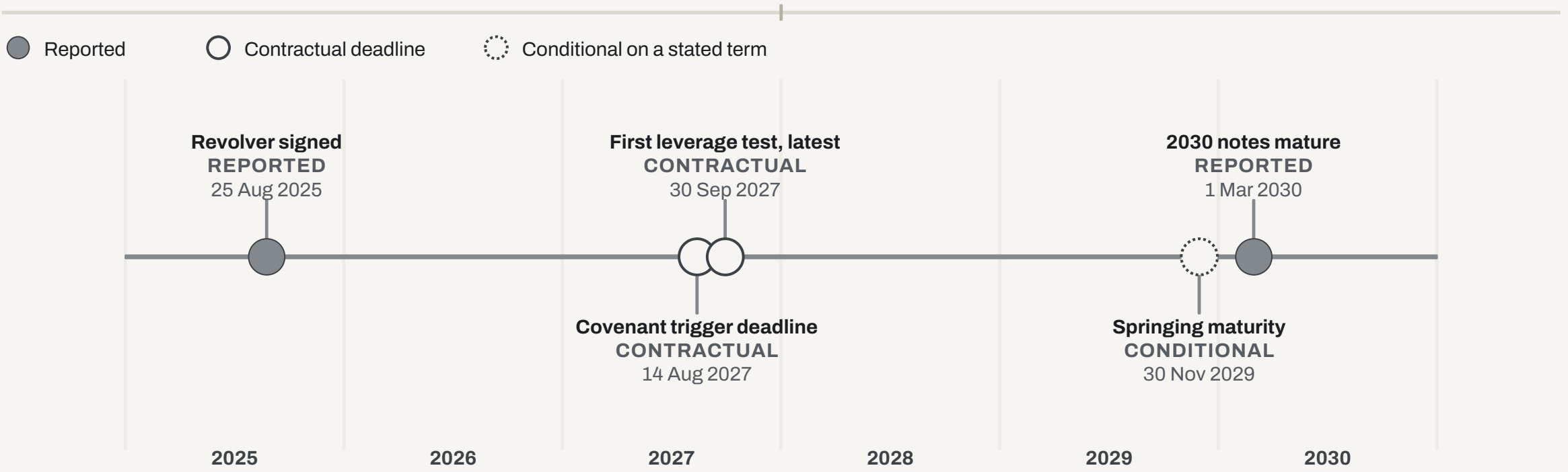
1. Cash plus short-term investments; MP reports that the agreement's Cash Equivalents include these investments.
2. Measured each quarter-end until the covenant trigger; a shortfall is an immediate Event of Default, with no equity cure found.
3. 125% of the $275m commitments; certified on day 60, it adds 30 days of grace after a suspension or release.
5. Lenders may require cash collateral for these after an Event of Default.

Each threshold applies on its own date. Cash can be spent between quarter-ends, so the projected quarter-end balance sets the spending limit. Every draw also repeats the representation that no material adverse effect has occurred.

Source: Credit agreement §§4.02, 5.05, 7.11, 8.01(b) and (m); Q3 2026 10-Q

Leverage tests start by Q3 2027, before expected 2028 10X commissioning, and the 2030 notes can pull maturity into 2029

Reported dates, contract deadlines and one conditional date

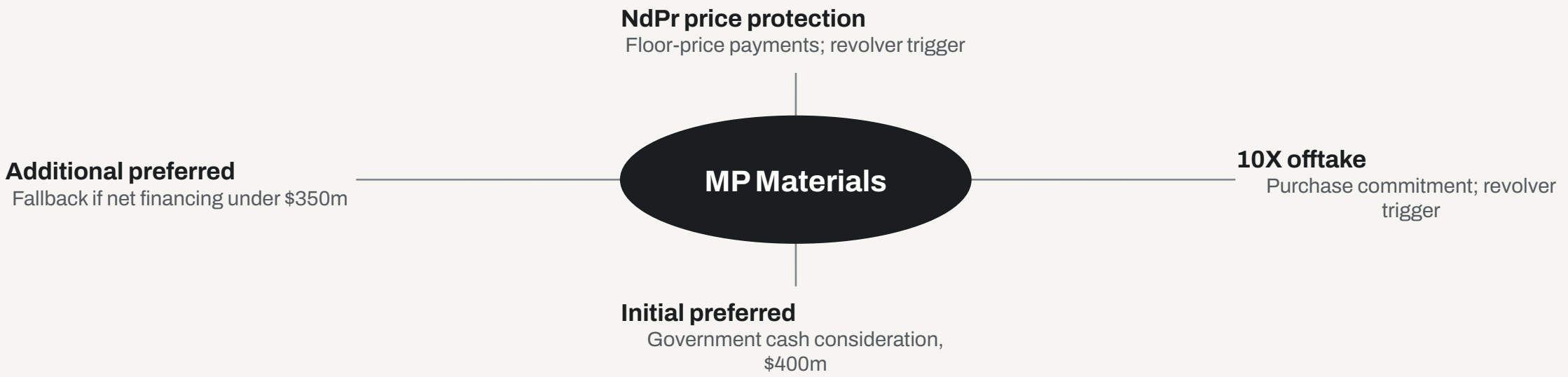


The trigger comes earlier at $400m of covenant EBITDA, later only on a late filing. On $1,043.1m of debt, 4.00x leverage needs about $232m of covenant EBITDA ($209m with 100% netting); 3.00x coverage, at most $108–109m. With enough 2030 notes left, maturity springs unless cash plus availability tops $1,078.5m or leverage is 2.00x or less.

Source: Revolving credit 8-K; credit agreement §§1.01, 6.01(b), 7.11; Q3 2026 10-Q, Note 8 and MD&A

The Defense agreements that support MP are also revolver default triggers

Government instruments linked to MP Materials; the transaction, offtake and price protection agreements are named in the credit agreement



The price floor and offtake reduce MP's NdPr price and magnet volume risk; MP keeps 10X cost and timing risk. DoD can suspend offtake only after an uncured MP payment default; the price agreement has no suspension right. An uncured 10X breach is likelier: it makes the agreement terminable, an immediate revolver Event of Default.

Source: Transaction agreement §§6.13, 9.02(a); offtake agreement §8.4; price protection agreement §8(p)–(q); Series A certificate of designations; credit agreement §8.01(m); 2025 10-K, Note 3

Each financing path, judged on the same dates, leaves a different question open: loan terms, letter-of-credit cover or later capital

Financing paths compared from July 2025 to 30 September 2026; what each would have provided and what it leaves open

Option	What it is	On these dates	Left open
Committed debt	A bank commits to lend; loans are drawn and repaid later	The commitment of at least $1bn expired undrawn; fees were paid	Loan pricing, tenor, conditions and recourse
Equity only	New common stock; permanent capital with no repayment	The same $724.2m of net proceeds, with no facility	Cash collateral or another issuer for $72m of letters of credit
Equity + revolver	The same stock sale plus a revolving credit facility	Both closed; $72m of letters of credit and no loans	Draws stop on any Default, including a Defense-agreement event
Delay to milestones	Raise in stages after construction milestones	Not observed in this case	Whether capital is available later on acceptable terms

> The committed debt's pricing, tenor, conditions and recourse were never disclosed, so cost of capital is left unranked. The terms on which equity only would replace the letters of credit are also undetermined.

Source: FI003 analysis of the reviewed record; July 2025 transaction 8-K; underwriting agreement; revolving credit 8-K; credit agreement; 2025 10-K; Q3 2026 10-Q

Equity plus a revolver adds later liquidity but exposes MP to lender remedies if Defense payments are suspended

Four financing paths against seven criteria; marks are categorical and unweighted

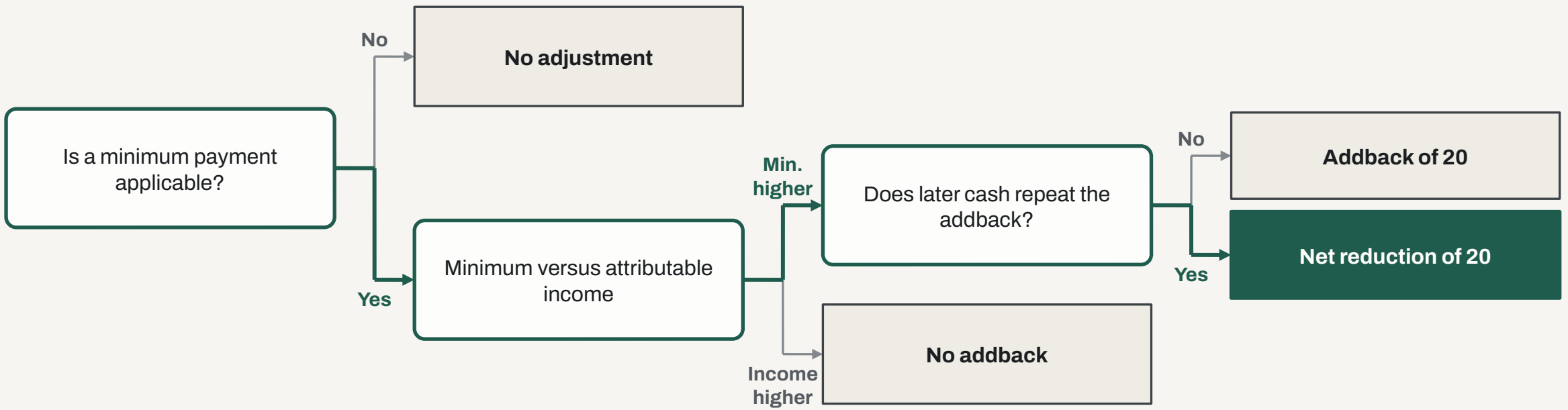
Criterion	Committed debt	Equity only	Equity + revolver	Delay to milestones
Capital raised or committed before build	Partly	**Meets**	**Meets**	Does not
Avoids dilution of holders	**Meets**	Does not	Does not	Partly
Avoids pre-revenue debt and covenants	Does not	**Meets**	Partly	**Meets**
Provides conditional liquidity later	Partly	Does not	**Meets**	Partly
Avoids lender remedies if DoD suspends	Not stated	**Meets**	Does not	**Meets**
Limits refinancing exposure	Not stated	**Meets**	Partly	**Meets**
Absorbs commissioning delay	Not stated	Partly	Partly	Does not

Analyst judgment. Equity plus revolver and equity only differ on four criteria: covenants, conditional liquidity, lender remedies and refinancing. Marks for committed debt rest on the commitment alone; “Not stated” means its loan terms were never published.

Source: FI003 analysis; credit agreement; prospectus supplement; 2025 10-K

A minimum-payment addback in covenant earnings can reverse when cash arrives

Illustrative clause arithmetic with hypothetical inputs, not reported MP results



Where the minimum payment exceeds attributable income, covenant EBITDA adds back the difference (20 on hypothetical 40 and 20). Cash later received for the same amount reverses it, so it counts once. The text leaves open whether the addback applies during a suspension. Covenant EBITDA differs from Adjusted EBITDA.

Source: Credit agreement, definition of Consolidated EBITDA

The revolver helps in a fundable overrun; a suspension of Defense payments blocks it

Equity plus revolver against equity only, each with $724.2m of equity at the same dilution, in five situations

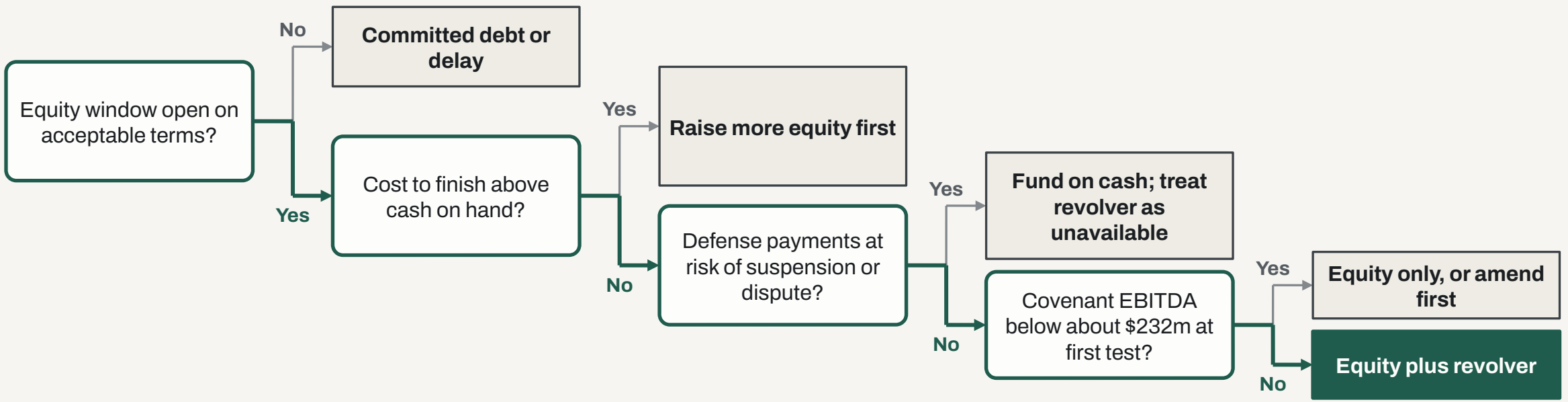
Situation	Equity+revolver	Equity only
Fundable company overrun	**May draw up to $203m if no Default exists**	More equity, spending changes or delay
Defense payments suspended	**Draws blocked; after day 60/90, lenders may call LC cash cover**	Funds from cash; no lender remedies apply
Overrun breaches 10X duties	**Can become a Default; once terminable, an Event of Default**	Cash only; DoD termination risk is the same
Cost while unused	**About $0.71m a year in commitment fees, plus LC fees**	No fee; $72m of LCs need cash collateral or a new issuer
Repayment	**Loans due Aug 2030, or 30 Nov 2029 if maturity springs**	Permanent capital; nothing to repay

> Analyst judgment. Before the covenant trigger, a draw adds cash toward the $500m quarter-end test; after it, a draw raises leverage against the 4.00x limit. Equity only is better if covenant EBITDA would fall short of about $232m at the first leverage test.

Source: FI003 analysis; credit agreement; transaction agreement §9.02(a); 2025 10-K; Q3 2026 10-Q

Equity first needs an open equity window, cash to finish 10X, secure Defense payments and covenant EBITDA near $232m

Decision conditions for a hypothetical sponsor; the highlighted route ends at the recommendation



Analyst judgment. Set go and slow decisions on 10X against projected quarter-end cash of at least $500m, then covenant EBITDA of at least about $232m ($209m on the 100% reading). Revolver capacity is a secondary buffer. A sponsor without an anchor offtake or price floor may find the equity window closed.

Source: FI003 analysis; credit agreement; transaction agreement

Six objections narrow the recommendation; the main open item is the cost to complete 10X

Each objection, what the draft concedes, how it answers and what remains open

Objection	Conceded	Answer	What remains
Equity is not always cheaper	Cost of capital is not ranked	**The case turns on fixed charges before revenue**	Loan terms for committed debt are not public
The $1bn commitment expired undrawn	It never funded the build	**It backed closing until equity and the revolver replaced it**	Its fees were still paid
JPMorgan acted with Goldman and others	The commitment and underwriting were shared	**Each role is stated as the filing names it**	The fee split between banks is not disclosed
Government support leaves risk	10X cost, timing and financing stay with MP	**Support is credited only for NdPr price and volume risk**	Construction is funded from MP's own capital
Correlated availability is overstated	DoD suspension rights are narrow	**A 10X breach or dispute still reaches the revolver**	Counsel review of Section 8.01(m)
No optimal or fully funded plan	No structure is shown to be optimal	**The draft names triggers that would change it**	The record has no 10X cost-to-complete

> Analyst judgment. Two open items matter most: the cost to complete 10X, which no public source gives, and counsel's reading of Section 8.01(m).

Source: FI003 analysis; credit agreement; transaction agreement; offtake agreement; July 2025 transaction 8-K; underwriting agreement; Q3 2026 10-Q